



For example, suppose you are selling product worth Rs 3 Lacs units. You might do Rs 4.5 lacs next month, Rs 9 lacs after that, 15 lacs, 25 lacs and so on. However, achieving these numbers isn't easy and will not happen for every company

When such exponential growth happens, your business picks up suddenly.

Your investors or potential investors observe this. Such growth is difficult to ignore for investors. If you can prove that you are market is large, you should be able to attract early investors. If you have momentum, everyone wants to jump on that train. No one would want to invest when you are fixing product,

getting feedback.

This is something left to the founders. However, once you clear these hurdles and start producing numbers, everyone will want to invest in your business.

However, it is important to understand that momentum is a series of successes. For example, nothing would change if you suddenly went from 2 lacs to 3 lacs. If you back this growth for 4-5 months, then it can be considered as momentum.

However, it is not that you cannot raise funds if you have not yet built momentum. You might raise initial rounds of funds when you are figuring things out. Thus, if your business is good, you are a right fit, the market is ready and you have initial traction, you can raise initial funds, even without momentum.